Tech Mahindra

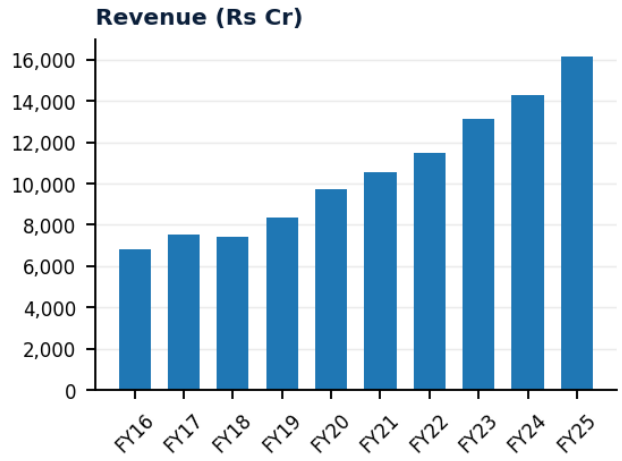
TECHM

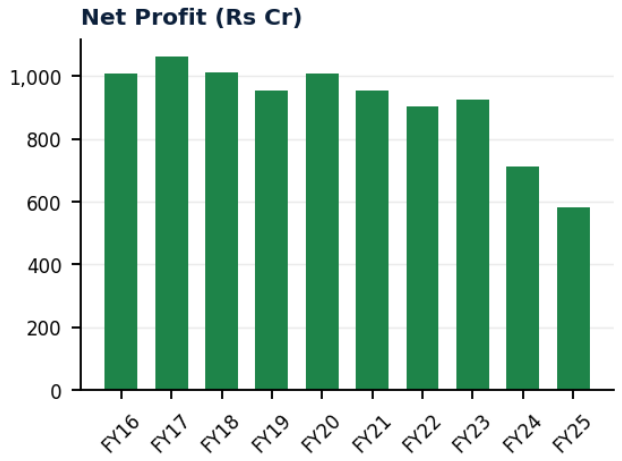
Sector: IT

Key performance indicators (FY2025)

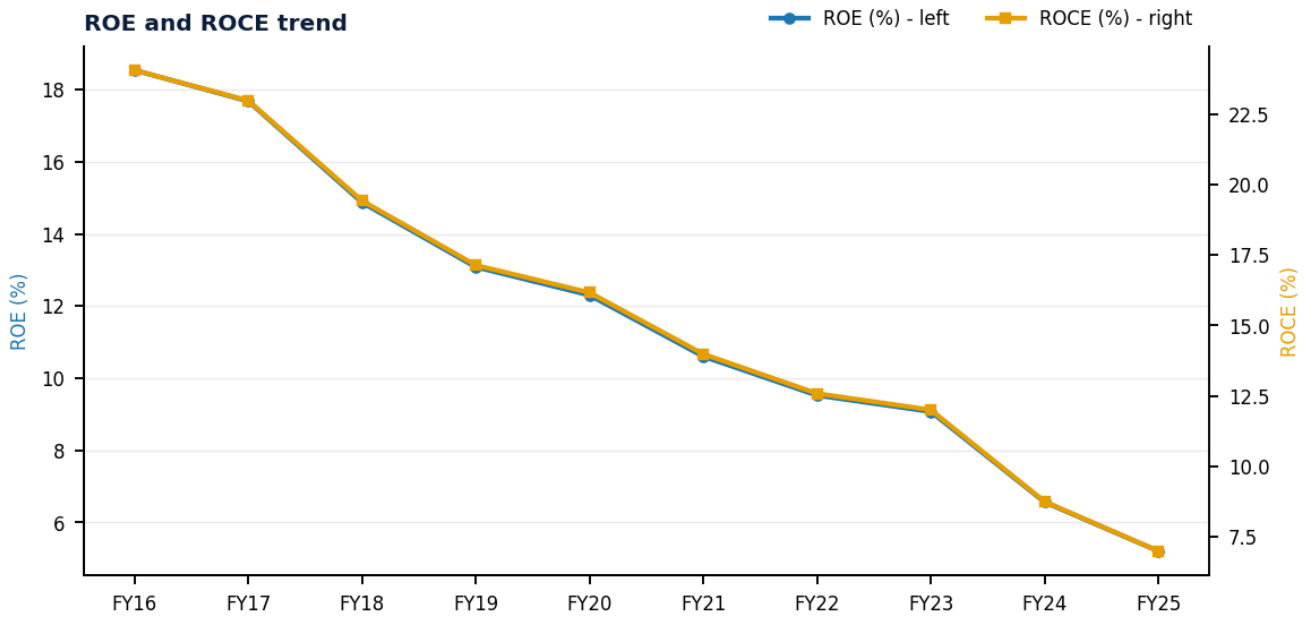
Revenue (Rs Cr) **16,159**	Net Profit (Rs Cr) **582**	Operating Margin (%) **6.8%**
ROE (%) **5.2%**	ROCE (%) **7.0%**	Debt / Equity (x) **0.03x**

10-year Revenue and Net Profit

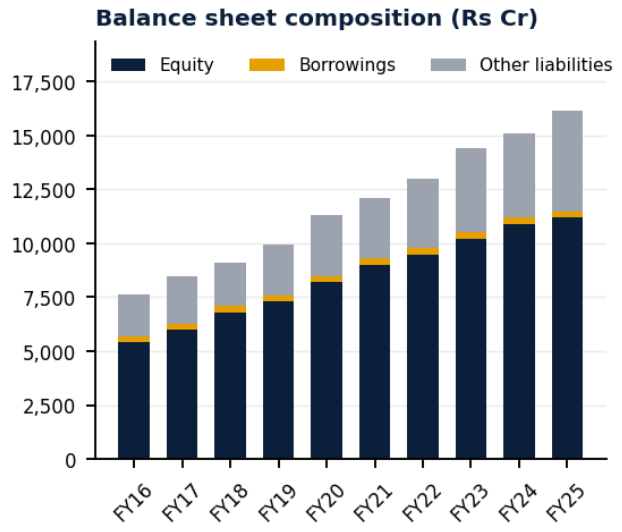


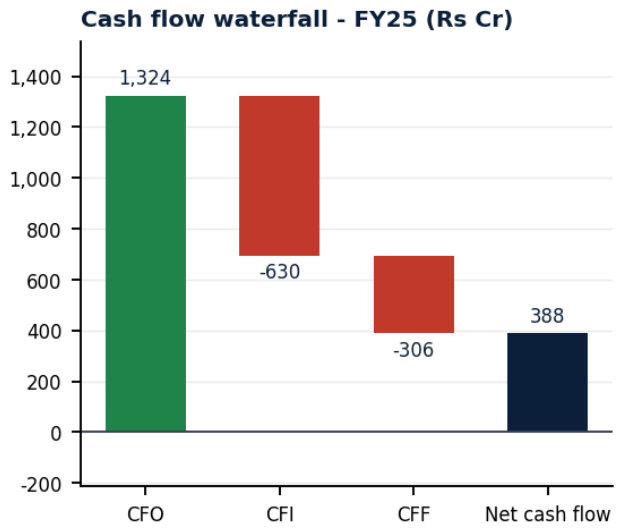


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (84%)

Cons - what to watch

- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (100%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (83%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (72%)

Capital allocation pattern (FY2025)

Reinvestor

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.81)	**Moderate (3.9%)**	**No**	**Yes - repaying debt**